

the low set by the left side of the pattern. That means if you set the launch price as the target, you'll be wrong 63% of the time, on average, if you trade the pattern often enough (and it behaves like the ones I've studied).

Table 71.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The price at the start (bottom) of the V-top is the measure rule target. The bottom portion of the table shows how often various heights work for the measure rule.
Busted pattern	Consider trading a busted downward breakout. See Table 71.9 for guidance and read the Sample Trade.
Tips	See text.

Description	Bull Market	Bear Market
Percentage reaching midway down left side	82%	91%
Percentage reaching 2/3 down left side	62%	78%
Percentage reaching left side bottom	37%	55%
Percentage reaching 1.5× height	11%	12%

Busted pattern. [Table 71.9](#) shows how well the average single busted pattern performs. Consider trading one of them. That is, price should drop less than 10% after a downward breakout, then reverse and close above the top of the pattern. That would be the time to buy, when the stock reaches or exceeds the top of the V-top. Hold it until it reaches the ultimate high and you'll have made a perfect busted trade. I show an example of how difficult it can be to make money following a busted trading strategy next.

Tips. I've mentioned in other chapters that knots of support make for terrific targets, and that's true for swing trades in V-tops, too. A knot is where price overlaps itself for at least 3 days but can be much longer, forming a sideways move.

Use the top price in the knot as the exit price. The knot should be the closest one located below the breakout price on the left side of the V. Price will